

26NWCV01127 26NWCV01127

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Case Number: 26NWCV01127 Hearing Date: August 19, 2026 Dept: C

SIMPSON v.

ENTERTAINMENT BENEFITS GROUP, LLC, et al.

CASE

NO.: 26NWCV01127

HEARING:

8/19/26 @ 9:30 AM

#13

TENTATIVE RULING

Defendant AUTOMOBILE

CLUB OF SOUTHERN CALIFORNIA's Demurrer to Plaintiff RAYMOND SIMPSON's First Amended

Complaint is SUSTAINED with

20 days leave to amend. Defendants Motion to Strike DENIED as MOOT.

Moving Party to give

NOTICE.

Defendant

AUTOMOBILE CLUB OF SOUTHERN CALIFORNIA (Defendant) generally demurs to Pro Per

Plaintiff RAYMOND SIMPSON's (Plaintiff) First Amended Complaint (FAC) on the

grounds that each of the eleven causes of action fail to state any cause of

action (legal theory) pursuant to Code of Civil Procedure § 430.10 subd. (e).

BACKGROUND

Pro

per Plaintiff alleges that on or about October 11, 2025, Plaintiff purchased two (2) tickets to the “Motown Extreme Theater” show through Defendant’s MemberDeals platform. The purchase page represented that the tickets were valid, legitimate, and would provide entry to a theater performance. (FAC, ¶11.)

Plaintiff

reasonably believed that the tickets were vetted, endorsed, and backed by Defendant because the transaction occurred through AAA’s MemberDeals platform, which is presented as an official AAA member benefit. (FAC, ¶12.)

Plaintiff

further alleges that Defendant failed to disclose material facts, including but not limited to:

- a. That the venue was not a theater;
- b. That the venue was actually a bar named “Motown Bar & Grill”;
- c. That the bar was closed, abandoned, and not operating at the advertised location;
- d. That the business had moved to another area of a nearly abandoned mini-mall;
- e. That ACSC was not the actual seller of the tickets;
- f. That a third-party vendor (EBG/MemberDeals) fulfilled the tickets;
- g. That ACSC disclaimed responsibility for the transaction.

Plaintiff

traveled from Norwalk, California to Las Vegas, Nevada in reliance on Defendant’s representations. Upon arrival, Plaintiff discovered that the advertised “theater” location was in fact a closed and abandoned bar. There was no

theater, no show, and no valid event. (FAC., ¶ 15.)

Based

thereon, Plaintiff asserts causes of action for:

1.

Breach

of Contract

2.

Negligent

Misrepresentation

3.

Intentional

Misrepresentation (Fraud)

4.

Unfair

Business Practices

5.

Unjust

Enrichment

6.

Breach

of Implied Covenant of Good Faith and Fair Dealing

7.

Failure

to Disclose Material Facts

8.

Negligent

Hiring, Supervision, and Retention

9.

Ostensible

Agency/ Agency Liability

10.

False

Advertising

11.

Violation

of Consumer Legal Remedies Act (CLRA)

On

August 5, 2026, the Court reclassified this case as a limited civil action.

LEGAL

STANDARD

The party against whom a complaint has been filed may object to the pleading, by demurrer, on several grounds, including the ground that the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) A party may demur to an entire complaint, or to any causes of action stated therein. (CCP § 430.50(a).) The complaint must be construed liberally by drawing reasonable inferences from the facts pleaded. (Flynn v. Higham (1983) 149 Cal.App.3d 677, 679.)

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (CCP §§ 430.30, 430.70.) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732,

internal citations omitted.)

The burden is on the complainant to show the court that a pleading can be amended successfully, to obtain an order allowing leave to amend. (McKenney v. Purepac Pharmaceutical Co. (2008) 167 Cal.App.4th 72, 78.) "Leave to amend should be denied where the facts are not in dispute and the nature of the claim is clear, but no liability exists under substantive law." (Lawrence v. Bank of America (1985) 163 Cal.App.3d 431, 436.)

DISCUSSION

I.

First,

Fifth and Sixth Breach Of Contract Derived Causes of Action

First

Cause of Action: Breach of Contract

Whether

it is written, oral, or implied, the elements of a cause of action for breach of contract are as follows: (1) the existence of a contract; (2) Plaintiff's performance or excused non-performance; (3) Defendants' breach; and (4) resulting damage to Plaintiff. (Reichert v. General Ins. Co. (1968) 68 Cal.2d 822, 830.)

Defendant

argues that Plaintiff neither attaches the alleged contract nor pleads its material terms. More fundamentally, Plaintiff's own allegations asserted in the General Allegations of the FAC establish that Entertainment Benefits Group and not Defendant, sold and fulfilled the tickets.

"14. ACSC failed to disclose material facts, including but not limited to:

a. That the venue was not a theater;

b. That the venue was actually a bar named "Motown Bar & Grill";

- c. That the bar was closed, abandoned, and not operating at the advertised location;
- d. That the business had moved to another area of a nearly abandoned mini-mall;
- e. That ACSC was not the actual seller of the tickets;
- f. That a third-party vendor (EBG/Member Deals) fulfilled the tickets;
- g. That ACSC disclaimed responsibility for the transaction.”

(FAC.,
¶ 14.)

In
opposition, Plaintiff argues the FAC adequately alleges an implied-in-fact
contract given Defendant:

.
Hosted
the MemberDeals platform

.
Branded
it with AAA logos

.
Marketed
it as an AAA member benefit

.
Encouraged
members to purchase tickets

.
Profited

from the transaction

.

Failed

to disclose material facts

.

Failed

to verify the venue

.

Failed

to supervise its vendor

(Opp.

p. 11, 18-25.)

The Court finds that Plaintiff has failed to sufficiently plead facts to allege breach of contract (either written or implied). A cause of action for breach of implied contract has the same elements as does a cause of action for breach of contract, except that the promise is not expressed in words but is implied from the promisor's conduct. (Cal. Civ. Code § 1621.) Both types of contract are identical in that they require a meeting of minds or an agreement. (Aton Center, Inc. v. United Healthcare Ins. Co. (2023) 93 Cal.App.5th 1214, 1230.)

Here, although no such allegation for an implied in fact contract is included in Plaintiff's FAC, the Court considers whether Plaintiff has stated a valid cause of action for implied in fact contract. (Quelimane Co. v. Steward Title Guaranty Co. (1998) 19 Cal.4th 26, 38-39 ["If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer."]) The Court finds dispositive Plaintiff's allegation that "[Defendant] was not the actual seller of the tickets; That a third-party vendor (EBG/Member Deals) fulfilled the tickets . . ." (FAC, ¶ 14.) This allegation demonstrates there was no mutual assent between Defendant and Plaintiff. Stated differently, Plaintiff fails to demonstrate there was a "meeting of the minds" between Defendant and Plaintiff when the underlying agreement for the purchase was made with the third-party vendor Entertainment Benefits Group.

Therefore, Plaintiff fails to allege the existence of a contract between Defendant and Plaintiff.

Sixth Cause of Action: Breach of Implied Covenant of Good Faith and Fair Dealings

The elements for Breach of Implied Covenant of Good Faith and Fair Dealings are: 1) existence of contractual relationship; 2) implied duty; 3) breach; and 4) causation of damages. (E.g., *Smith v. San Francisco* (1990) 225 Cal.App.3d 38, 49; 1 Witkin Sum. Cal. Law (10th ed. 2005) Contracts § 800.)

As described above Plaintiff fails to demonstrate a contract existed with Defendant.

Fifth Cause of Action: Unjust Enrichment

"Unjust enrichment" is not a cause of action; it is just a restitution claim. (*De Havilland v. FX Networks, LLC* (2018) 21 Cal.App.5th 845, 870.)

Because Plaintiff's contract claims fail, the unjust enrichment claim fails as well. "There being no actionable wrong, there is no basis for the relief." (*Ibid.* citing *Hill v. Roll Internat. Corp.* (2011) 195 Cal.App.4th 1295, 1307.)

Accordingly, the demurrer as to the first, fifth, and sixth causes of action are SUSTAINED with 20 days leave to amend.

II.

Second,

Third, Fourth, Seventh, Tenth and Eleventh Fraud Derived Causes of Action

FRAUD:

The elements of fraud are (1) misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) justifiable reliance, and (5) resulting damage. (*City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 211.)

Whether

intentional or negligent in nature, fraud actions are subject to strict requirements of particularity in pleading. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 216.)

Fraud must be pleaded with specificity rather than with general and conclusory allegations. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th

167, 184.) The specificity requirement means a Plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of corporate Defendant, the Plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

Defendant

argues that Plaintiff has failed to plead the fraud claim with sufficient particularity. (Hall v. Department of Adoptions (1975) 47 Cal.App.3d 898, 904.) Defendant contends that Plaintiff does not identify any specific misrepresentation allegedly made by Defendant, who made the representation, when or where it was made, or the precise language of the alleged statement. In addition, the FAC does not allege any facts demonstrating that Defendant knew any representation was false when made or that Defendant intended to deceive Plaintiff.

In

opposition, Plaintiff argues that when misrepresentations are made through written materials or websites, the plaintiff need not identify a specific employee. (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462.)

Moreover, Plaintiff argues that California law recognizes liability for misrepresentation even when the defendant is not the seller. (Kearns v. Ford Motor Co. (2009) 567 F.3d 1120.)

The

Court finds that Plaintiff has failed to plead the fraud allegations with the required specificity. First, Plaintiff's cited cases do not support the propositions they are cited for. In Cansino v. Bank of America, there is no mention of a reduced pleading standard when misrepresentations are made through written materials or websites. Indeed, the requirement of specificity in fraud-derived causes of action is affirmed by the Court of Appeal. (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1469.) In Kearns v. Ford Motor Co.,

the Ninth Circuit affirmed the lower court's holding that the car purchaser failed to allege particular circumstances surrounding seller's purported misrepresentations and fraud regarding "certified pre-owned" (CPO) vehicles, and thus failed to state claim for violations of California's Consumers Legal Remedies Act (CLRA) and Unfair Competition Law (UCL) under heightened pleading requirements for fraud claims; even though purchaser alleged that seller's marketing materials and representations led him to believe that CPO vehicles were subjected to rigorous inspections by specially trained technicians. (Kearns v. Ford Motor Co. (9th Cir. 2009) 567 F.3d 1120, 1126.) Therefore, the case does not support the proposition Plaintiff offers it for.

Here,

Plaintiff fails to allege facts identifying the specific advertisement, where or when it appeared, who created or disseminated it, or facts establishing that Defendant, rather than EBG, made the alleged representations. As stated above, Plaintiff instead alleges that EBG sold and fulfilled the subject tickets.

Accordingly,

the demurrer as to the above mentioned causes of action are SUSTAINED with 20 days leave to amend.

III.

Eighth

Cause of Action for Negligent Hiring, Supervision, and Retention and Ninth Cause of Action for Ostensible Agency

Negligent Hiring, Supervision,

Retention: An employer may be liable for negligent hiring, supervision, or retention where it knew or should have known that hiring or retaining an employee or agent created a particular risk of harm, and that particular harm ultimately materialized. (Phillips v. TLC Plumbing, Inc. (2009) 172 Cal.App.4th 1133, 1139-1140.)

Ostensible Agency: Before a

principal may be held liable for the acts of an ostensible agent, a plaintiff must establish: (1) a reasonable belief in the agent's authority; (2) that such belief was generated by some act or neglect of the principal; and (3) justifiable reliance on that apparent authority. (J.L. v. Children's Institute, Inc. (2009) 177 Cal.App.4th 388, 403-404.)

Defendant argues that Plaintiff alleges no supporting facts showing that Defendant actually received any portion of Plaintiff's payment, how any commission or referral fee arose from this particular transaction, or whether Defendant retained any transaction-specific benefit after Plaintiff recovered the ticket price through his chargeback.

In opposition, Plaintiff expands the pleading by adding platform revenue, partnership incentives, increased traffic, and branding value, none of which is alleged in the FAC.

The Court finds that Plaintiff has failed to plead facts sufficient for negligent hiring, supervision, and retention. Plaintiff states in a conclusory manner that Defendant "hired partnered with, and retained MemberDeals/EBG as its exclusive ticketing vendor for AAA members." (FAC, ¶ 63.) However, Plaintiff fails to allege facts that demonstrate EBG was a subordinate employee of Defendant. Moreover, Plaintiff fails to allege how and/or why Defendant knew or should have known that hiring or retaining EBG created a particular risk of harm. Therefore, without a true employer-employee relationship, the claim fails.

Accordingly, the demurrer to the eighth and ninth causes of action is SUSTAINED with 20 days leave to amend.

Motion to Strike

The grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. (CCP §436.) When the defendant is a business entity, § 3294(b) requires authorization, ratification, or personal malice by an officer, director, or managing agent. Whether an individual is a "managing agent" turns on substantial discretionary authority over corporate policy, a fact question rarely resolvable on the pleadings. (White v. Ultramar, Inc. (1999) 21 Cal.4th 563, 577; Roby v. McKesson Corp. (2009) 47 Cal. 4th 686, 714–715.) In order to plead a prima facie claim for punitive damages, a plaintiff must plead the ultimate facts from which it can reasonably be inferred that a defendant acted with "oppression, fraud, or malice" against the plaintiff within the meaning of Civil Code § 3294. (Coil. Hosp., Inc. v. Superior Court (1994) 8 Cal.4th 704, 721; Cyrus v. Haveson (1976) 65 Cal.App.3d 306, 316-317.)

Defendant moves to strike punitive and exemplary damages from the Plaintiff's complaint. However, given that the Court has SUSTAINED with 20 days leave to amend the fraud-derived causes of action the motion to strike is DENIED as MOOT.